

FEDERAL MARITIME COMMISSION

Washington, D.C.

Docket No. 21-02

YSN IMPORTS INC. d/b/a FLAME KING, Complainant

v.

FEIGE “PEGGY” OBERLANDER, U SHIPPERS GROUP INC., U SHIPPERS GROUP
MANAGEMENT CO., INC., Respondents.

**RESPONDENTS’ REPLY ON MOTION FOR
LEAVE TO FILE ANSWER OUT OF TIME**

Respondents Feige “Peggy” Oberlander, U Shippers Group Inc. (the “Association”), U Shippers Group Management Co., Inc. (“Management”) (all three Respondents collectively “Respondents”) hereby reply on their motion for leave to file a late answer to the Complaint brought by YSN Imports Inc. d/b/a Flame King (“YSN”).

I. Preliminary Statement

Respondents filed their motion to file a later answer only six days after the answer was due. No prejudice has been claimed nor demonstrated by Complainant if the Commission permits an answer. Indeed, Complainant itself emailed counsel on the day the motion was filed, enquiring of when an Answer would be filed, and stated that if the Answer was not filed, it would move for default.

There is a very strong federal policy of determining disputes on their merits. No prejudice has been shown here, nor could prejudice be shown where an Answer was filed six days late. Under these circumstances, there is no basis to not allowing a late filing of the Answer.

II. Background

On July 7, 2021, the Commission denied Respondents' motion to dismiss, and ordered that Respondents file their Answer by July 22, 2021. (Dkt. 19 at 8) Lead counsel for Respondents failed to timely file an answer due to the press of other business, including being on trial the week the answer was due in a New Jersey arbitration, his son getting married, and because the client was in a remote location with very limited access to a computer. (Schwalb Reply Decl. ¶ 3)

Counsel was working on an Answer and was prepared to file it along with the instant motion for leave to file out of time, when on July 28, 2021, Complainant's counsel emailed:

Dear Mr. Schwalb: As you are aware, the July 7, 2021 order denying UShipper's motion to dismiss the Complaint required an answer or other response to be filed with the FMC by July 22. Please promptly advise as to the status of the response, failing which we will seek an order to show cause to compel a response and/or move forward with default proceedings.

(*Id.* ¶ 4) Counsel understood this email to mean that Complainant was consenting to a late filing of the Answer, and would not oppose the instant motion.¹ (*Id.*) Later that day, the instant motion was filed. (*Id.* ¶ 5)

III. Under The Standards Of Rule 6(b)(1)(B), The Motion Should Be Granted

Complainant's opposition cites the Commission rules on failure to file a timely answer, but ignore the basis of the instant motion, Fed.R.Civ.P. 6(b)(1)(B), which is applicable here pursuant to 46 C.F.R. § 502.12. That Federal Rule provides:

When an act may or must be done within a specified time, the court may, for good cause, extend the time:

...

¹ It is for this reason that counsel did not confer on the motion, as he understood that consent had been given.

(B) on motion made after the time has expired if the party failed to act because of excusable neglect.

Fed.R.Civ.P. 6(b)(1)(B). The issue, then, is whether Respondents have shown excusable neglect.

“‘[E]xcusable neglect’ under Rule 6(b) is a somewhat ‘elastic concept’ and is not limited strictly to omissions caused by circumstances beyond the control of the movant.” *Pioneer Inv. Servs. Co. v. Brunswick Assocs. Ltd. P’ship*, 507 U.S. 380, 392 (1993). Excusable neglect is thus “understood to encompass situations in which the failure to comply with a filing deadline is attributable to negligence.” *Id.* at 394. “[T]he determination [of whether there has been excusable neglect] is at bottom an equitable one, taking account of all relevant circumstances surrounding the party’s omission. These include . . . the danger of prejudice to the [opposing party], the length of the delay and its potential impact on judicial proceedings, the reason for the delay, including whether it was within the reasonable control of the movant, and whether the movant acted in good faith.” *Id.* at 394. “[M]ere inadvertence, without more, can in some circumstances be enough to constitute ‘excusable neglect.’” *Raymond v. Int’l Bus. Machines Corp.*, 148 F.3d 63, 66 (2d Cir. 1998).

In this case, all of the factor identified by the Supreme Court in *Pioneer Inv.* favor granting the motion. There is no danger of prejudice to Complainant; it has not even argued for any prejudice, nor is any conceivable from a mere six-day delay. The delay was less than a week, and will have little impact on the proceedings here. The reasons for the delay, set out in the Schwalb Declaration are reasonable. And, there is no suggestion that Respondents have acted in bad faith.

IV. There Is No Basis For Default Judgment Here

Complainant notes the Commission rules on entry of judgment by default, yet fails to note that Complainant itself has not filed for a motion for decision on default, as the very rule it quotes

provides for. In any event, the policy of both the Commission and the federal courts strongly disfavors adjudication by default.

“Default judgements are not favored and should be reserved for extreme situations. Because defaults are generally disfavored and are reserved for rare occasions, when doubt exists as to whether a default should be granted or vacated, the doubt should be resolved in favor of the defaulting party.” *Barbara v. African Shipping*, 2012 WL 11914699, * 3 (FMC 2012). *See Surtain v. Hamlin Terrace Foundation*, 789 F.3d 1239, 1244-45 (11th Cir. 2015)(There is a “strong policy of determining cases on their merits” and thus “default judgments are generally disfavored.”); *Fortenberry v. Texas*, 75 Fed. Appx. 924, 926 n. 1 (5th Cir. 2003) (“Default judgments are generally disfavored in the law, and there is a strong policy to decide cases on the merits.”); *Pecarsky v. Galaxiworld.com Ltd.*, 249 F.3d 167, 172 (2d Cir. 2001) (“Strong public policy favors resolving disputes on the merits.”); *Jackson v. Beech*, 636 F.2d 831, 835 (D.C.Cir. 1980)(“Default judgments are not favored by modern courts, perhaps because it seems inherently unfair to use the court’s power to enter and enforce judgments as a penalty for delays in filing.”)

As the Commission has noted:

The reluctance to decide cases by default judgments is consistent with the underlying philosophy regarding proceedings before administrative agencies like the Commission. Under this philosophy agencies prefer to decide cases based on evidence rather than on defaults and technicalities and they consider initial pleadings to be relatively unimportant when deciding cases as compared to the evidence that the litigating parties produce.

Tak Consulting Engineers v. Bustani, 1998 WL 940842, * 3 (FMC 1998).

Here, the Answer was filed only six days late, and no prejudice has been suffered by Complainant. Even if default had been entered against Respondents, there would be a strong basis to vacate it. *Cf. Fortenberry*, 75 Fed.Appx. at 926 n. 1 (2003) (affirming denial of motion for

default judgment, where defendant filed answer only six days late and no prejudice to plaintiff was demonstrated).

V. Respondents Do Not Oppose The Modest Extension Requests By Complainant

Complainant alternatively requests an extension of the time to file a joint status report with proposed schedule of twenty (20) days from August 6, 2021 to August 26, 2021. Respondent does not oppose this request.

CONCLUSION

For the foregoing reasons, the motion for leave to file the Answer out of time should be granted.

Dated: August 2, 2021
New York, New York

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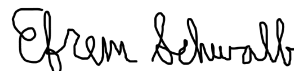
CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document, and all documents in support, on counsel for Complainant at the following address(es):

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Executed: August 2, 2021



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